ACADIAN TIMBER CORP.

Q1 2025 INTERIM REPORT

Q1 2025 Interim Report

Letter to Shareholders[1]

Overview

Acadian Timber Corp.'s ("Acadian" or the "Company") operations and financial results for the three months ended March 29, 2025 (the "first quarter") reflected mixed conditions. Demand for our products remained steady despite heightened economic uncertainty. However, unfavourable weather conditions in both New Brunswick and Maine impacted our ability to deliver to our customers.

Our results also continued being affected by limited contractor capacity in Maine. During the first quarter, we took meaningful steps towards addressing this challenge by establishing our own internal logging operations in Maine, which we expect to ramp up over the course of the year in order to increase volumes and reduce operating costs.

Acadian generated $3.0 million of Free Cash Flow[2] and declared dividends of $5.2 million to our shareholders during the first quarter. Our balance sheet continues to be solid with $17.6 million of net liquidity[2] as at March 29, 2025, which includes funds available under our credit facilities.

Results of Operations

Acadian is committed to health and safety as our number one priority. We believe that emphasizing and achieving a good safety record is a leading indicator of success in the broader business. Acadian's operations experienced one recordable safety incident during the quarter among employees, which was minor in nature, and none among contractors. We remain committed to maintaining a culture across the organization that emphasizes the importance of strong safety performance.

Acadian generated sales of $24.8 million, compared to $28.8 million in the prior year period. The first quarter of 2024 included $4.9 million in carbon credit sales, while no carbon credit sales occurred in the first quarter of 2025. Timber sales and services revenue increased by $1.0 million year-over-year as a result of increased timber sales volumes and increased timber services activity, partially offset by a decrease in the weighted average selling price of timber. Timber sales volume, excluding biomass, increased 3%, supported by stable demand. However, unfavourable weather conditions in New Brunswick and Maine hindered trucking activities. Volumes in Maine were further impacted by continued limited contractor capacity, which is addressed below under Internal Logging Operations.

Weighted average selling price, excluding biomass, decreased 5% year-over-year. Sawlog prices decreased due to changes in product mix and weakness in lumber markets. Softwood pulpwood pricing decreased due to lower demand, while hardwood pulpwood pricing increased due to longer hauling distances.

Adjusted EBITDA[2] was $4.7 million during the first quarter compared to $10.6 million in the prior year period. Included in the Adjusted EBITDA for the prior year period was $4.1 million related to carbon credit sales, while no carbon credit sales occurred in the first quarter of 2025. Adjusted EBITDA margin for the quarter was 19% compared to 37% in the prior year period.

Net income for the first quarter totaled $3.7 million, or $0.21 per share, compared to net income of $6.0 million, or $0.35 per share in the same period of 2024. Lower operating income and lower non-cash fair value adjustments were partially offset by lower income tax expense, as compared to the prior year period.

Internal Logging Operations[1]

During the first quarter, Acadian established its own internal logging operations in order to increase production capacity and reduce operating costs in Maine. This occurred through two initiatives.

First, in January 2025, Acadian purchased several pieces of harvesting equipment for $2.4 million and hired equipment operators to conduct harvesting operations on Acadian's Maine Timberlands. Then, on February 28, 2025, Acadian acquired additional logging and related assets for total cash consideration of $6.9 million. The assets include harvesting, trucking and road working equipment and related real estate which, combined with an established workforce, constitute an operational logging business which has operated on our land base for many years.

Although some operations will continue to be performed by external contractors in Maine in the near term, these initiatives represent a significant transition away from contracted logging operations in Maine. As these operations are developed, we expect to expand our production capacity and reduce our operating costs in Maine.

Outlook[1]

Near-term pressures on end use markets persist and potential tariffs are causing concern among forest products companies in both the U.S. and Canada. However, North American interest rates and inflation are showing signs of easing, and the consensus forecast for U.S. housing starts is steady at approximately 1.37 million starts in 2025, as compared to 1.35 million in 2024. We remain confident that the stability of the northeastern forestry sector, combined with long-term demand for new homes and repair and remodel activity, will support the long-term demand for our products.

We maintained sufficient contractor availability in New Brunswick through the first quarter, which is expected to continue for the remainder of the year. Although tight labour markets in Maine contributed to delays in trucking in the first quarter, we continued harvesting and have a healthy inventory of harvested wood ready to truck as spring road conditions allow. The establishment of our own internal logging operations is expected to alleviate historical logging capacity constraints and increase overall production over the course of 2025, while reducing operating costs.

Demand for Acadian's sawlogs is mainly driven by regional supply and demand. Near-term sawlog demand is expected to remain stable while pricing may remain challenged until end-use markets improve. Demand and pricing for softwood pulpwood is expected to remain at reduced levels in the near term. Demand for hardwood pulpwood began to soften due to elevated inventories at regional sawmills as we exited the quarter, which may affect demand and pricing in the near term.

With respect to voluntary carbon credits, demand and pricing are expected to remain stable. The protocol for developing compliance market carbon credits from managed forests in Canada was finalized during 2024. Acadian is evaluating the opportunities to develop eligible carbon credits that the compliance protocol may present, in conjunction with the opportunities that exist under voluntary protocols.

Looking Ahead[1]

Supported by a strong balance sheet, diverse markets, and a highly capable team, Acadian has the ability to weather challenging operating or economic conditions as they arise. With our new logging operations in place in Maine, we look forward to a productive year ahead.

Through 2025, we will remain focused on safety and environmental performance, while obtaining the highest margins available for our products and making improvements throughout the business to maximize cash flows.

On behalf of the Board of Directors and management of Acadian, thank you to all our shareholders for their ongoing support.

Adam Sheparski
President and Chief Executive Officer
May 7, 2025

1. *This Letter to Shareholders contains forward-looking information within the meaning of applicable Canadian securities laws that involve known and unknown risks, uncertainties and other factors that may cause actual results, performance or achievements to be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements. Please refer to the section entitled "Cautionary Statement Regarding Forward-Looking Information and Statements" in Management's Discussion and Analysis for further details.*

2. *Adjusted EBITDA and Free Cash Flow are key performance measures in evaluating Acadian's operations and are important in enhancing investors' understanding of the Company's operating performance. Adjusted EBITDA is indicative of the underlying profitability of Acadian's operating segments and is used to evaluate operational performance. Free Cash Flow is used to evaluate Acadian's ability to generate sustainable cash flows from operations that are available for dividends, repurchases of common shares, debt reduction, acquisitions, and other capital allocation activities. Acadian's management defines Adjusted EBITDA as net income before interest, income taxes, fair value adjustments, non-cash cost of sales related to carbon credits, recovery of or impairment of land and roads and depreciation and amortization. Free Cash Flow is defined as Adjusted EBITDA less interest paid, current income tax expense, capital expenditures excluding acquisitions of timberlands and non-cash expenditures, and mandatory debt repayments, plus net proceeds from the sale of timberlands and other fixed assets (proceeds less gains or losses). Reference is also made to "net liquidity" which includes cash and cash equivalents and funds available under credit facilities less amounts reserved to support the minimum cash balance related to long-term debt. Please refer to the section entitled "Non-IFRS Measures" in Management's Discussion and Analysis for further details.*

MANAGEMENT'S DISCUSSION AND ANALYSIS

(All figures in Canadian dollars unless otherwise stated)

May 7, 2025

INTRODUCTION

Acadian Timber Corp. ("Acadian", the "Company" or "we") is one of the largest timberland owners in Eastern Canada and the Northeastern U.S. and has a total of approximately 2.4 million acres of land under management. Acadian owns and manages approximately 775,000 acres of freehold timberlands in New Brunswick ("New Brunswick Timberlands") and approximately 300,000 acres of freehold timberlands in Maine ("Maine Timberlands") and provides timber services relating to approximately 1.3 million acres of Crown licensed timberlands in New Brunswick.

Acadian's primary business is forest management and the production of timber products, including softwood and hardwood sawlogs, pulpwood, and biomass by-products, sold to approximately 90 regional customers. Acadian also generates income through other operations, including real estate and environmental solutions.

Acadian's business strategy is to maximize cash flows from its existing timberland assets through sustainable forest management and other land use activities while growing its business by acquiring assets and actively managing these assets to drive improved performance.

Basis of Presentation

This management's discussion and analysis ("MD&A") discusses the financial condition and results of operations of the Company for the three months ended March 29, 2025 (herein referred to as the "first quarter") compared to the three months ended March 30, 2024 and should be read in conjunction with the unaudited interim condensed consolidated financial statements and notes thereto for the first quarter and the audited annual consolidated financial statements and the related MD&A for the fiscal year ended December 31, 2024.

Our first quarter unaudited interim condensed consolidated financial statements have been prepared in accordance with IAS 34 "Interim Financial Reporting" using the accounting policies adopted and disclosed in Note 2 of Acadian's audited 2024 consolidated financial statements and as updated in Note 2 of the first quarter unaudited condensed consolidated financial statements, and are expressed in Canadian dollars unless otherwise noted. External economic and industry factors remain broadly unchanged since the previous annual report, unless otherwise noted. This MD&A has been prepared based on information available as at May 7, 2025. Additional information is available on Acadian's website at www.acadiantimber.com and on SEDAR+ at www.sedarplus.ca

Non-IFRS Measures

Throughout this MD&A, reference is made to "Adjusted EBITDA", which Acadian's management defines as net income before interest, income taxes, fair value adjustments, non-cash cost of sales related to carbon credits, recovery of or impairment of land and roads and depreciation and amortization, and to "Adjusted EBITDA margin", which is Adjusted EBITDA as a percentage of sales. Reference is also made to "Free Cash Flow", which Acadian's management defines as Adjusted EBITDA less interest paid, current income tax expense, capital expenditures excluding acquisitions of timberlands and non-cash expenditures, and mandatory debt repayments plus net proceeds from the sale of timberlands and other fixed assets (proceeds less gains or losses). Reference made to "Payout Ratio" is defined as dividends declared divided by Free Cash Flow and "Payout Ratio with DRIP" is defined as dividends paid in cash divided by Free Cash Flow. Management believes that Adjusted EBITDA, Adjusted EBITDA margin, Free Cash Flow, and Payout Ratios are key performance measures in evaluating Acadian's operations and are important in enhancing investors' understanding of the Company's operational performance. Adjusted EBITDA and Adjusted EBITDA margin are indicative of the underlying profitability of Acadian's operating segments and are used to evaluate operational performance. Free Cash Flow is used to evaluate Acadian's ability to generate sustainable cash flows from operations that are available for dividends, repurchases of common shares, debt reduction, acquisitions, and other capital allocation activities. We have provided reconciliations of net income as determined in accordance with IFRS, to Adjusted EBITDA and Free Cash Flow in the "Adjusted EBITDA and Free Cash Flow" section of this MD&A. Reference is also made to "net liquidity" which includes cash and cash equivalents and funds available under credit facilities less amounts reserved to support the minimum cash balance related to long-term debt.

As these measures do not have a standardized meaning prescribed by IFRS, they may not be comparable to similar measures presented by other companies.

Assessment and Changes in Disclosure Controls and Internal Controls

Management, including the Chief Executive Officer and Chief Financial Officer, have evaluated the effectiveness of the design and operation of the Company's disclosure controls and procedures as at December 31, 2024. There have been no changes in our disclosure controls and procedures during the three months ended March 29, 2025 that have materially affected, or are reasonably likely to materially affect, our disclosure controls and procedures.

Management, including the Chief Executive Officer and Chief Financial Officer, have also evaluated the design and effectiveness of our internal controls over financial reporting in accordance with Multilateral Instrument 52-109 using the COSO Framework 2013 as at December 31, 2024. There have been no changes in our internal controls over financial reporting during the three months ended March 29, 2025 that have materially affected, or are reasonably likely to materially affect, our internal controls over financial reporting.

REVIEW OF OPERATIONS

Summary of First Quarter Results

The table below summarizes operating and financial data for Acadian:

(CAD thousands, except volume and per share information) *Three Months Ended*	**March 29, 2025**	March 30, 2024
Timber sales volume (000s m^3)	**266.9**	247.0
Carbon credit sales volume (000s credits)	**—**	152.1
Timber sales and services	**$ 24,834**	$ 23,879
Carbon credit sales	**—**	4,930
Operating income	**4,421**	7,598
Net income	**3,659**	6,025
Adjusted EBITDA[1]	**$ 4,679**	$ 10,599
Adjusted EBITDA margin[1]	**19%**	37%
Free Cash Flow[1]	**$ 3,010**	$ 7,770
Dividends declared	**5,169**	5,004
Dividends paid in cash	**2,590**	3,723
Payout Ratio[1]	**172%**	64%
Payout Ratio with DRIP[1]	**86%**	48%
Per share – basic and diluted		
Net income	**$ 0.21**	$ 0.35
Free Cash Flow[1]	**0.17**	0.45
Book value	**19.06**	18.72
Dividends declared per share	**0.29**	0.29
Common shares outstanding[2]	**17,822,449**	17,254,798
Weighted average shares outstanding	**17,797,714**	17,242,758

1. Non-IFRS Measure. See "Non-IFRS Measures" on page 3 of this report.
2. As at May 7, 2025 there were 17,976,713 common shares outstanding.

During the first quarter, Acadian generated total sales of $24.8 million, compared to $28.8 million in the prior year period. The first quarter of 2024 included $4.9 million in carbon credit sales, while no carbon credit sales occurred in the first quarter of 2025.

Timber sales and services revenue increased by $1.0 million year-over-year as a result of increased timber sales volumes and increased timber services activity, partially offset by a decrease in the weighted average selling price of timber. Timber sales volume, excluding biomass, increased 3% as compared to the first quarter of 2024, supported by stable demand. However, unfavourable weather conditions in New Brunswick and Maine hindered trucking activities. Volumes in Maine were further impacted by continued limited contractor capacity. Timber services revenue increased 55%, as compared to the first quarter of 2024, due to timing of activity across quarters. Biomass sales volume increased 100% from the prior year period due to increased processing capacity.

Weighted average selling price, excluding biomass, decreased 5% year-over-year. Sawlog prices decreased due to changes in product mix and weakness in lumber markets. Softwood pulpwood pricing decreased due to lower demand, while hardwood pulpwood pricing increased due to longer hauling distances.

Operating costs and expenses were $20.4 million during the first quarter, compared to $21.2 million during the prior year period. The year-over-year decrease reflects an increase in operating costs and expenses related to timber sales and services of $2.2 million, offset by a decrease in costs related to carbon credit sales of $3.0 million. Operating costs and expenses related to timber sales and services increased as a result of higher timber sales volumes and higher timber services activity, as well as transition costs associated with the establishment of our own logging operations in Maine. See "Internal Logging Operations" and "Segmented Results of Operations – Maine Timberlands" sections.

Adjusted EBITDA was $4.7 million during the first quarter compared to $10.6 million in the prior year period. Included in the Adjusted EBITDA in the prior year period was $4.1 million related to carbon credit sales. Adjusted EBITDA margin for the quarter was 19% compared to 37% in the prior year period. Free Cash Flow was $3.0 million compared to $7.8 million in the prior year period.

Net income for the first quarter totaled $3.7 million, or $0.21 per share, compared to net income of $6.0 million, or $0.35 per share in the same period of 2024. Lower operating income and lower non-cash fair value adjustments were partially offset by lower income tax expense, as compared to the prior year period.

Adjusted EBITDA and Free Cash Flow

The following table provides a reconciliation of net income, as determined in accordance with IFRS, to Adjusted EBITDA and Free Cash Flow during each respective period:

(CAD thousands) *Three Months Ended*	**March 29, 2025**	March 30, 2024
Net income	**$ 3,659**	$ 6,025
Add / (deduct):		
Interest expense, net	**816**	859
Income tax expense	**1,522**	2,976
Depreciation and amortization	**236**	102
Fair value adjustments and other	**(1,554)**	(2,189)
Non-cash cost of sales related to carbon credits[2]	**—**	2,826
Adjusted EBITDA[1]	**$ 4,679**	$ 10,599
Add / (deduct):		
Interest paid on debt, net	**(897)**	(829)
Mandatory debt repayments	**(54)**	—
Capital expenditures	**(542)**	(128)
Gain on sale of timberlands and other fixed assets	**(22)**	(73)
Proceeds from sale of timberlands and other fixed assets	**423**	79
Current income tax expense	**(577)**	(1,878)
Free Cash Flow[1]	**$ 3,010**	$ 7,770
Dividends declared	**$ 5,169**	$ 5,004
Dividends paid in cash	**$ 2,590**	$ 3,723
Payout Ratio[1]	**172%**	64%
Payout Ratio with DRIP[1]	**86%**	48%

1. *Non-IFRS Measure. See "Non-IFRS Measures" on page 3 of this report.*
2. *A portion of the book value of carbon credit inventory originates in transfers of fair value from timber and is recorded as an expense at the time of a sale. These amounts are added back to Adjusted EBITDA to be consistent with the treatment of fair value adjustments to timber.*

Dividend Policy of the Company

Acadian declares dividends from its available cash to the extent determined prudent by the Board of Directors. Dividends are paid on or about the 15th day following each dividend record date.

Total dividends declared to shareholders during the three months ended March 29, 2025 were $5.2 million, or $0.29 per share, compared to $5.0 million, or $0.29 per share during the same period in 2024.

Acadian has in place a dividend reinvestment plan ("DRIP") effective with eligible shareholders whereby Canadian resident shareholders may elect to automatically have their dividends reinvested in additional shares issued directly from the treasury of the Company. During the three months ended March 29, 2025, Acadian issued 146,762 common shares in accordance with the DRIP.

Macer Forest Holdings Inc. ("Macer"), which owns approximately 49.7% of the outstanding common shares of Acadian, participates in the DRIP for 100% of dividends payable to it.

Operating and Market Conditions

Acadian's harvesting operations during the quarter benefited from stable demand for its products. Sales volume, excluding biomass, of 240,000 m^3 was 3% higher than the same period in 2024. Stable demand was partially offset by unfavourable weather conditions, which hindered trucking in both New Brunswick and Maine, and by limited contractor capacity in Maine.

Weighted average selling price, excluding biomass, decreased 5% year-over-year. Pricing for softwood sawlogs and hardwood sawlogs decreased by 10% and 8%, respectively, due to weak end use markets. Softwood pulpwood pricing decreased 11% due to lower demand, while hardwood pulpwood pricing increased 5% due to longer hauling distances. Biomass pricing decreased 69% year-over-year, as a result of roadside sales instead of delivered sales.

Internal Logging Operations[1]

During the first quarter, Acadian established its own internal logging operations in order to increase production capacity and reducing operating costs in Maine. This occurred through two initiatives.

In January 2025, Acadian purchased several pieces of harvesting equipment for $2.4 million and hired equipment operators to conduct harvesting operations on Acadian's Maine Timberlands. Financing terms related to the purchase of the equipment are included under the heading "Contractual Obligations".

On February 28, 2025, Acadian acquired certain logging and related assets of A & A Brochu, LLC ("A & A Brochu") and its affiliates for total cash consideration of $6.9 million. The assets include harvesting, trucking and road working equipment and related real estate which, combined with an established workforce, constitute a portion of A & A Brochu's logging operation in Maine.

Recognized amounts of assets acquired from A & A Brochu are as follows:

(CAD thousands)		
Equipment	**$**	**5,235**
Land and buildings		**1,461**
Intangible assets		**234**
Total identifiable assets acquired	**$**	**6,930**

The fair values are provisional, pending completion of a detailed inventory and fair value assessment of all assets acquired. No liabilities were assumed. Acquisition-related costs of $0.2 million are included in net income.

[1] *The following contains forward-looking information about Acadian Timber Corp.'s outlook. Reference should be made to the section entitled "Cautionary Statement Regarding Forward-Looking Information and Statements" for further details. For a description of material factors that could cause actual results to differ materially from the forward-looking information in the following, please see the Risk Factors section of Acadian's most recent Annual Report and Annual Information Form available on our website at* www.acadiantimber.com *or www.sedarplus.ca.*

Segmented Results of Operations

The table below summarizes financial results by segment:

(CAD thousands) *Three Months Ended*		**March 29, 2025**	March 30, 2024
Sales			
	New Brunswick Timberlands	**$ 22,068**	$ 19,070
	Maine Timberlands	**2,766**	4,809
	Environmental Solutions	**—**	4,930
	Corporate	**—**	—
	Total	**$ 24,834**	$ 28,809
Adjusted EBITDA			
	New Brunswick Timberlands	**$ 5,892**	$ 5,996
	Maine Timberlands	**(674)**	1,163
	Environmental Solutions	**—**	4,138
	Corporate	**(539)**	(698)
	Total	**$ 4,679**	$ 10,599

New Brunswick Timberlands

New Brunswick Timberlands owns and manages approximately 775,000 acres of freehold timberlands and provides harvesting and management services relating to approximately 1.3 million acres of Crown licensed timberlands. All harvesting operations are performed by third-party contractors.

During the first quarter of 2025, Acadian's New Brunswick operations experienced no recordable safety incidents among employees or contractors.

The table below summarizes operating and financial results for New Brunswick Timberlands:

(CAD thousands, except volume) *Three Months Ended*		**March 29, 2025**	March 30, 2024
Sales (000s m^3)			
	Softwood	**129.0**	113.9
	Hardwood	**84.1**	72.1
	Biomass	**26.0**	13.0
	Total	**239.1**	199.0
Sales ($000s)			
	Softwood	**$ 9,293**	$ 8,915
	Hardwood	**8,078**	6,744
	Biomass	**423**	695
	Total	**$ 17,794**	$ 16,354
Timber services and other		**4,274**	2,716
Total Sales ($000s)		**$ 22,068**	$ 19,070
Adjusted EBITDA ($000s)		**$ 5,892**	$ 5,996
Adjusted EBITDA margin		**27%**	31%

Sales for New Brunswick Timberlands were $22.1 million compared to $19.1 million during the prior year period, with increased sales volumes and higher timber services activity partially offset by a lower weighted average selling price. Sales volume, excluding biomass, increased 15% due primarily to strong demand for sawlogs. Softwood sawlog and hardwood sawlog sales volumes increased 15% and 40%, respectively, and softwood pulpwood and hardwood pulpwood sales volumes increased 9% and 11%, respectively. Biomass sales volume increased 100% from the prior year period due to increased processing capacity.

The weighted average selling price, excluding biomass, for the first quarter was $81.51 per m^3, or 3% lower than the prior year period. Sawlog prices decreased due to changes in product mix and weakness in lumber markets. Softwood pulpwood pricing decreased due to lower demand, while hardwood pulpwood pricing increased due to longer hauling distances.

Operating costs and expenses were $16.3 million during the first quarter, compared to $13.2 million in the prior year period as a result of increased harvesting and timber services activity and increased weighted average variable costs. Weighted average variable costs, excluding biomass, increased 2% due to higher contractor costs compared to the prior year period.

Adjusted EBITDA for the quarter was $5.9 million compared to $6.0 million during the prior year period and Adjusted EBITDA margin was 27% compared to 31%.

Maine Timberlands

Maine Timberlands owns and manages approximately 300,000 acres of freehold timberlands. Prior to January 1, 2025, all harvesting operations were performed by third-party contractors. During the first quarter, Acadian established its own internal logging operations. See disclosure under the heading “Internal Logging Operations”.

There were no recordable safety incidents among employees and two recordable safety incidents among contractors during the first quarter of 2025, which were minor in nature.

The table below summarizes operating and financial results for Maine Timberlands:

(CAD thousands, except volume) *Three Months Ended*		**March 29, 2025**	March 30, 2024
Sales (000s m^3)			
	Softwood	**17.5**	29.7
	Hardwood	**9.3**	18.1
	Biomass	**1.0**	0.2
	Total	**27.8**	48.0
Sales ($000s)			
	Softwood	**$ 1,518**	$ 2,958
	Hardwood	**878**	1,584
	Biomass	**26**	2
	Total	**$ 2,422**	$ 4,544
Timber services and other		**344**	265
Total Sales ($000s)		**$ 2,766**	$ 4,809
Adjusted EBITDA ($000s)		**$ (674)**	$ 1,163
Adjusted EBITDA margin		**(24)%**	24%

Sales for Maine Timberlands during the first quarter totaled $2.8 million compared to $4.8 million in the prior year period. Timber sales volume, excluding biomass, decreased 44% primarily due to reduced contractor capacity and unfavourable weather conditions which impacted deliveries.

The weighted average selling price, excluding biomass, in Canadian dollar terms was $89.43 per m^3, compared to $95.03 per m^3 during the same period of 2024. In U.S. dollar terms, the weighted average selling price, excluding biomass, was $62.35 per m^3, compared to $70.48 per m^3 in 2024. Softwood sawlog prices decreased due to changes in product mix and weakness in lumber markets while hardwood pulpwood pricing remained relatively consistent with the same quarter of the prior year. Hardwood sawlog and softwood pulpwood volumes were minimal during the quarter.

Operating costs and expenses for the first quarter were $3.6 million, compared to $3.7 million during the same period in 2024. Decreases in costs resulting from lower timber sales volumes were partially offset by transition costs related to the start-up of our own logging operations. See “Internal Logging Operations” section.

Adjusted EBITDA for the quarter was $(0.7) million compared to $1.2 million during the prior year period and Adjusted EBITDA margin was (24)% compared to 24%.

***Environmental Solutions*[1]**

Environmental Solutions leverages the ecological functions of Acadian’s land and the operational expertise of its team to address pressing environmental challenges, such as climate change and biodiversity. In line with these objectives, Acadian has undertaken a voluntary carbon credit project which increases carbon sequestration and provides significant environmental benefits on the portion of our Maine Timberlands that is subject to a working forest conservation easement.

The project is registered on the ACR under the name Anew – Katahdin Forestry Project, and requires balancing harvest and growth, long-term planning, periodic carbon inventory verification, and maintenance of the Acadian’s sustainable forestry certification.

During the first quarter of 2024, an agreement was reached to sell 752,100 carbon credits and the first delivery under this agreement for approximately 152,100 carbon credits occurred in March 2024. No sales occurred during the first quarter of 2025.

The table below summarizes operating and financial results for Environmental Solutions:

(CAD thousands, except credits) *Three Months Ended*	**March 29, 2025**	March 30, 2024
Sales volume (000s credits)	—	152.1
Sales ($000s)	**$ —**	$ 4,930
Adjusted EBITDA ($000s)	**$ —**	$ 4,138

The registration process for the second and third tranches of carbon credits for the project is expected to result in approximately 350,000 credits in total and is expected to be completed in the second quarter of 2025. The project is expected to generate an additional 800,000 credits related to tranches four through ten. Actual credit issuances will be adjusted each reporting period based on actual harvesting, natural disturbances, and other factors, as well as periodic updating for inventory and verification activities.

This project has provided valuable experience to the Acadian management team and has formed the foundation for potential further carbon credit developments in the future.

Tariffs on U.S. Imports[1]

During the first quarter, the U.S. government implemented a 25% tariff to be applied to the majority of U.S. imports from Canada, which was then delayed for goods that are protected under the United States–Mexico–Canada Agreement. Following the last major announcement on April 2, 2025, there are currently no tariffs in place applicable to Acadian’s products. It is unclear if and when any changes to tariffs will be applied and whether other factors will support a pass through of all or a part of the tariffs to the market.

Acadian’s products exported from New Brunswick to the U.S. may be subject to future tariffs, which may adversely impact the price of and demand for these products. Further, the impact of the tariff on Acadian’s customers may adversely impact the price of and demand for Acadian’s products sold within Canada. Conversely, the price of and demand for Acadian’s products derived from our Maine Timberlands may be favourably impacted.

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[1] *The following contains forward-looking information about Acadian Timber Corp.’s outlook. Reference should be made to the section entitled “Cautionary Statement Regarding Forward-Looking Information and Statements” for further details. For a description of material factors that could cause actual results to differ materially from the forward-looking information in the following, please see the Risk Factors section of Acadian’s most recent Annual Report and Annual Information Form available on our website at* www.acadiantimber.com *or* *www.sedarplus.ca.*

LIQUIDITY AND CAPITAL RESOURCES[1]

Acadian had net liquidity of $17.6 million as at March 29, 2025, which includes cash and funds available under credit facilities less amounts reserved to support the minimum cash balance related to long-term debt.

Liquidity and capital resources are discussed in the Company's MD&A for the year ended December 31, 2024.

OUTLOOK[1]

Near-term pressures on end use markets persist and potential tariffs are causing concern among forest products companies in both the U.S. and Canada. However, North American interest rates and inflation are showing signs of easing, and the consensus forecast for U.S. housing starts is steady at approximately 1.37 million starts in 2025, as compared to 1.35 million in 2024. We therefore remain confident that the stability of the northeastern forestry sector, combined with long-term demand for new homes and repair and remodel activity, will support the long-term demand for our products.

We maintained sufficient contractor availability in New Brunswick through the first quarter, which is expected to continue for the remainder of the year. Although tight labour markets in Maine contributed to delays in trucking in the first quarter, we continued harvesting and have a healthy inventory of harvested wood ready to truck as spring road conditions allow. The establishment of our own internal logging operations is expected to alleviate capacity constraints and increase overall production over the course of 2025.

Demand for Acadian's sawlogs is mainly driven by regional supply and demand. Near-term sawlog demand is expected to remain stable while pricing may remain challenged until end-use markets improve. Demand and pricing for softwood pulpwood is expected to remain at reduced levels in the near term. Demand for hardwood pulpwood began to soften due to elevated inventories at regional sawmills as we exited the quarter, which may affect demand and pricing in the near term.

With respect to voluntary carbon credits, demand and pricing are expected to remain stable. The protocol for developing compliance market carbon credits from managed forests in Canada was finalized during 2024. Acadian is evaluating the opportunities to develop eligible carbon credits that the compliance protocol may present, in conjunction with the opportunities that exist under the voluntary protocols.

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[1] *The following contains forward-looking information about Acadian Timber Corp.'s outlook for the remainder of 2025. Reference should be made to the section entitled "Cautionary Statement Regarding Forward-Looking Information and Statements" for further details. For a description of material factors that could cause actual results to differ materially from the forward-looking information in the following, please see the Risk Factors section of Acadian's most recent Annual Report and Annual Information Form available on our website at* www.acadiantimber.com *or www.sedarplus.ca.*

SELECTED CONSOLIDATED QUARTERLY INFORMATION

The table below sets forth selected consolidated quarterly information for the current and last seven quarters.

	2025	2024				2023		
(CAD thousands, except per share data and where indicated)	**Q1**	Q4	Q3	Q2	Q1	Q4	Q3	Q2
Timber sales volume (000s m^3)	**266.9**	232.3	287.4	210.5	247.0	231.9	272.9	184.2
Carbon credit sales volumes (000s credits)	**—**	—	—	600.0	152.1	1.5	—	—
Timber sales and services	**$ 24,834**	$ 20,226	$ 25,959	$ 21,533	$ 23,879	$ 23,778	$ 26,593	$ 20,707
Carbon credit sales	**$ —**	—	—	19,658	4,930	37	—	—
Adjusted EBITDA[1]	**4,679**	3,698	4,039	20,556	10,599	4,418	4,916	5,651
Free Cash Flow[1]	**3,010**	3,051	2,540	16,370	7,770	2,811	4,312	4,108
Net income	**3,659**	5,585	2,215	7,913	6,025	11,593	6,408	5,813
Per share – basic and diluted	**$ 0.21**	$ 0.32	$ 0.13	$ 0.46	$ 0.35	$ 0.68	$ 0.37	$ 0.34

1. Non-IFRS Measure. See "Non-IFRS Measures" on page 3 of this report.

Results are impacted by seasonality. Harvest activity is highest during the winter months, when the ground is frozen, providing a solid base for harvesting and hauling equipment. There is a significant decrease in activity during the spring when the ground thaws. Harvesting activity resumes in the early summer when the ground dries and continues through the fall.

Net income can be significantly impacted by non-cash items such as fluctuations in foreign exchange and the fair value adjustment of the Company's timberlands, which are revalued at each reporting period. During the fourth quarter of 2023, Acadian recorded a fair value adjustment gain on timberlands which increased net income by $12.8 million.

During the first and second quarters of 2024, Acadian sold significant volumes of voluntary carbon credits, which increased Adjusted EBITDA by $4.1 million and $15.7 million, respectively. A portion of the book value of carbon credit inventory originates in transfers of fair value from timber and is recorded as an expense at the time of a sale. These amounts are added back to Adjusted EBITDA to be consistent with the treatment of fair value adjustments to timber. This adjustment to net income to calculate Adjusted EBITDA was $2.8 million and $11.4 million during the first and second quarters of 2024, respectively.

The following table provides a reconciliation of net income, as determined in accordance with IFRS, to Adjusted EBITDA and Free Cash Flow during each respective period included in the Selected Consolidated Quarterly Information above:

	2025	2024				2023		
(CAD thousands)	**Q1**	Q4	Q3	Q2	Q1	Q4	Q3	Q2
Net income	**$ 3,659**	$ 5,585	$ 2,215	$ 7,913	$ 6,025	$ 11,593	$ 6,408	$ 5,813
Add / (deduct):								
Interest expense, net	**816**	721	654	887	859	778	795	771
Income tax expense	**1,522**	2,164	939	3,170	2,976	4,795	1,200	2,334
Depreciation and amortization	**236**	148	139	128	102	101	106	83
Fair value adjustments and other	**(1,554)**	(4,920)	92	(2,894)	(2,189)	(12,869)	(3,593)	(3,350)
Non-cash cost of sales related to carbon credits	**—**	—	—	11,352	2,826	20	—	—
Adjusted EBITDA[1]	**$ 4,679**	$ 3,698	$ 4,039	$ 20,556	$ 10,599	$ 4,418	$ 4,916	$ 5,651
Add / (deduct):								
Interest paid on debt, net	**(897)**	(814)	(764)	(892)	(829)	(793)	(764)	(740)
Mandatory debt repayments	**(54)**	—	—	—	—	—	—	—
Capital expenditures	**(542)**	(342)	(292)	(320)	(128)	(69)	(373)	(146)
Gain on sale of timberlands and other fixed assets	**(22)**	(335)	(1)	(129)	(73)	(5)	77	(351)
Proceeds from sale of timberlands and other assets	**423**	1,142	1	138	79	5	80	360
Current income tax recovery (expense)	**(577)**	(298)	(443)	(2,983)	(1,878)	(745)	530	(666)
Free Cash Flow[1]	**$ 3,010**	$ 3,051	$ 2,540	$ 16,370	$ 7,770	$ 2,811	$ 4,312	$ 4,108

1. Non-IFRS Measure. See "Non-IFRS Measures" on page 3 of this report.

Critical Judgments and Estimates

The preparation of financial statements in accordance with IFRS requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosures of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenue and expense during the reported period. The critical estimates and judgements applied in preparing Acadian's consolidated financial statements affect the determination of the timing of satisfaction of performance obligations related to revenue recognition, assessment of net recoverable amounts, net realizable values and fair values, including the fair value of assets acquired as part of a business combination, depreciation rates and useful lives, determination of functional currency and the selection of accounting policies.

The critical estimates and judgements made in the preparation of Acadian's consolidated financial statements include, among other things, determining Acadian's customer and the timing of transfer of control in carbon credit sales arrangements, future prices and margins, future sales volumes, future harvest rates and sustainable yields, and discount rates utilized in the valuation of Acadian's timber, roads and land. In making estimates and judgements, management relies on external information and observable conditions where possible, supplemented by internal analysis as required. These estimates and judgements have been applied in a manner consistent with prior periods and there are no known trends, commitments, events or uncertainties that we believe will materially affect the methodology or assumptions utilized in making these estimates and judgements in these consolidated financial statements.

For further reference on critical accounting policies, see our material accounting policies contained in Note 2 of Acadian's 2024 annual MD&A and audited 2024 consolidated financial statements, and Note 2 of Acadian's Q1 2025 interim condensed consolidated financial statements.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimate is revised if the revision affects only that period or in the period of the revision and future periods if the revision affects both current and future periods.

Related Party Transactions

There were no related party transactions during the first quarter other than shares issued to Macer in accordance with the DRIP, as included within Dividend Policy of the Company.

Contractual Obligations

The Company has two significant contractual obligations, being the Fibre Supply Agreement and the Crown Lands Services Agreement. The Fibre Supply Agreement ("FSA") between the Company and Groupe Lebel expires in 2026, subject to a five-year extension at the option of Groupe Lebel. The provision of timber services under the Crown Lands Services Agreement ("CLSA") at the direction of Twin Rivers Paper Company ("Twin Rivers") has a term equal to the term of the Crown License, including any renewal terms.

The table below summarizes the Company's long-term debt obligations as at March 29, 2025:

	Payments Due by Period				
(CAD thousands)	Total	Less Than One Year	1 to 3 Years (2026-2028)	4 to 5 Years (2029-2030)	After 5 Years (>2030)
Term facilities					
Tranche due March 6, 2027[1]	$ 45,782	$ —	$ 45,782	$ —	$ —
Tranche due March 6, 2030[1]	22,892	—	—	22,892	—
Tranche due March 6, 2030[1]	45,782	—	—	45,782	—
	114,456	—	45,782	—	—
Equipment loan	2,135	715	1,420	—	—
	$ 116,591	$ 715	$ 47,202	$ 68,674	$ —
Interest payments	$ 17,725	$ 4,424	$ 7,391	$ 5,910	$ —

1. *Represents principal of the U.S. dollar denominated term facilities with a U.S. to Canadian dollar conversion rate of 1.4307, excluding the unamortized deferred financing costs.*

On March 6, 2025, U.S.$32.0 million of the term loan matured and was refinanced under essentially the same terms as the existing facilities, and with a maturity date of March 6, 2030 and an interest rate of 5.25%. There are no scheduled repayments of principal required prior to the maturity dates of the Term Facilities.

On January 2, 2025 Acadian entered into an equipment financing agreement in the amount of U.S.$1.5 million which bears interest at 2.49% and is repayable in monthly principal and interest instalments over 3 years.

RISK FACTORS

Risk factors are discussed in the Company's MD&A for the year ended December 31, 2024.

Cautionary Statement Regarding Forward-Looking Information and Statements

This MD&A contains forward-looking information and statements within the meaning of applicable Canadian securities laws that involve known and unknown risks, uncertainties and other factors that may cause the actual results, performance or achievements of Acadian Timber Corp. and its subsidiaries (collectively, "Acadian"), or industry results, to be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements. Forward-looking information is included in this MD&A and includes statements made in the sections entitled "Segmented Results of Operations – Environmental Solutions", "Outlook" , "Internal Logging Operations", and "Tariffs on U.S. Imports" and without limitation other statements regarding management's beliefs, intentions, results, performance, goals, achievements, future events, plans and objectives, business strategy, growth strategy and prospects, access to capital, liquidity and trading volumes, dividends, taxes, capital expenditures, projected costs, market trends and similar statements concerning anticipated future events, results, achievements, circumstances, performance or expectations that are not historical facts. All forward-looking statements in this MD&A are qualified by these cautionary statements. Forward-looking statements involve significant risks and uncertainties, should not be read as guarantees of future performance or results, should not be unduly relied upon, and will not necessarily be accurate indications of whether or not such results will be achieved. Actual results may vary. These forward-looking statements include, but are not limited to:

- Expectations regarding the number and timing of carbon credits that will be successfully registered and available for sale. Actual credit issuances will be adjusted each reporting period based on actual harvesting, natural disturbances and other factors, as well as periodic updating for inventory and verification activities.
- Expectations regarding product demand, pricing and end use markets, including expectations for U.S. housing starts, which may be impacted by changes in interest rates, U.S. population demographics and the inventory of homes for sale. Expectations regarding product demand and pricing are based on anticipated market conditions, anticipated regional inventory levels of key customers, and the economic situation of key customers. Estimates for U.S. housing starts are based on forecasts published by major financial institutions.
- Expectations regarding future production volumes and costs associated with internal logging operations which may be impacted by operational efficiency, the regional supply of skilled operators, product demand, pricing and end use markets.
- Expectations regarding the impacts of potential tariffs levied on all U.S. imports from Canada, which may include direct impacts related to changes to the price of and demand for Acadian's products originating in Canada as well as the U.S., and indirect impacts associated with changes in the price of and demand for the products of Acadian's key customers and the greater economy.
- Expectations regarding future contractor availability, which may be impacted by regional supply of trained contractors and changes in the demographics of the available workforce.

Other risks and factors are discussed in each of the Annual Information Form dated March 28, 2025 and the Management Information Circular dated March 28, 2025 and other filings of Acadian made with securities regulatory authorities, which are available on SEDAR+ at www.sedarplus.ca. Forward-looking information is based on various material factors or assumptions, which are based on information currently available to Acadian. Readers are cautioned that the preceding list of material factors or assumptions is not exhaustive. Although the forward-looking statements contained in this MD&A are based upon what management believes are reasonable assumptions, Acadian cannot assure readers that actual results will be consistent with these forward-looking statements. The forward-looking statements in this MD&A are made as of the date of this MD&A based on information currently available to management and should not be relied upon as representing Acadian's views as of any date subsequent to the date of this MD&A. Acadian assumes no obligation to update or revise these forward-looking statements to reflect new information, events, circumstances or otherwise, except as may be required by applicable law.

INTERIM CONDENSED CONSOLIDATED BALANCE SHEETS

(unaudited)

(CAD thousands) *As at*	Note	**March 29, 2025**	December 31, 2024
Assets			
Current assets			
Cash and cash equivalents		**$ 4,629**	$ 15,250
Accounts receivable and other assets		**7,529**	8,576
Current income taxes receivable		**1,515**	—
Inventories	4	**3,195**	2,094
		16,868	25,920
Timber	5	**472,267**	471,890
Land, roads, and other fixed assets	6	**112,476**	104,067
Intangible assets		**6,369**	6,140
Total assets		**$ 607,980**	$ 608,017
Liabilities and shareholders' equity			
Current liabilities			
Accounts payable and accrued liabilities		**$ 8,598**	$ 10,922
Current income taxes payable		**—**	229
Dividends payable to shareholders		**5,169**	5,126
Current portion of long-term debt	7	**715**	46,045
		14,482	62,322
Long-term debt	7	**115,334**	68,896
Deferred income tax liabilities, net		**138,455**	137,770
Total liabilities		**268,271**	268,988
Shareholders' equity	8	**339,709**	339,029
Total liabilities and shareholders' equity		**$ 607,980**	$ 608,017

See accompanying notes to interim condensed consolidated financial statements.

INTERIM CONDENSED CONSOLIDATED STATEMENTS OF NET INCOME

(unaudited)

(CAD thousands, except per share data) *Three Months Ended*	Note	**March 29, 2025**	March 30, 2024
Sales	10	**$ 24,834**	$ 28,809
Operating costs and expenses			
Cost of sales	10	**17,361**	18,265
Selling, administration and other		**2,810**	2,935
Silviculture		**242**	11
		20,413	21,211
Operating income		**4,421**	7,598
Interest expense, net		**(816)**	(859)
Other items			
Fair value adjustments and other		**1,554**	2,189
Gain on sale of timberlands and other fixed assets		**22**	73
Income before income taxes		**5,181**	9,001
Income tax expense	12	**(1,522)**	(2,976)
Net income		**$ 3,659**	$ 6,025
Net income per share – basic and diluted		**$ 0.21**	$ 0.35

See accompanying notes to interim condensed consolidated financial statements.

INTERIM CONDENSED CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME

(unaudited)

(CAD thousands) *Three Months Ended*	**March 29, 2025**	March 30, 2024
Net income	**$ 3,659**	$ 6,025
Other comprehensive income		
Items that may be reclassified subsequently to net income:		
Unrealized foreign currency translation income / (loss)	**(334)**	1,798
Comprehensive income	**$ 3,325**	$ 7,823

See accompanying notes to interim condensed consolidated financial statements.

INTERIM CONDENSED CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY

(unaudited)

(CAD thousands) *Three Months Ended March 29, 2025*	Note	Common Share Capital	Retained Earnings	Revaluation Surplus	Currency Translation	Shareholders' Equity
Balances as at December 31, 2024		$ 156,267	$ 113,103	$ 38,666	$ 30,993	$ 339,029
Changes during the period						
Net income		**—**	**3,659**	**—**	**—**	**3,659**
Other comprehensive loss		**—**	**—**	**—**	**(334)**	**(334)**
Dividends to shareholders	13	**—**	**(5,169)**	**—**	**—**	**(5,169)**
Common shares issued - DRIP		**2,524**	**—**	**—**	**—**	**2,524**
Balances as at March 29, 2025		**$ 158,791**	**$ 111,593**	**$ 38,666**	**$ 30,659**	**$ 339,709**

(CAD thousands) *Three Months Ended March 30, 2024*	Note	Common Share Capital	Retained Earnings	Revaluation Surplus	Currency Translation	Shareholders' Equity
Balances as at December 31, 2023		$ 147,618	$ 111,624	$ 33,867	$ 25,873	$ 318,982
Changes during the period						
Net income		—	6,025	—	—	6,025
Other comprehensive income		—	—	—	1,798	1,798
Dividends to shareholders	13	—	(5,004)	—	—	(5,004)
Common shares issued - DRIP		1,261	—	—	—	1,261
Balances as at March 30, 2024		$ 148,879	$ 112,645	$ 33,867	$ 27,671	$ 323,062

See accompanying notes to interim condensed consolidated financial statements.

INTERIM CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS

(unaudited)

(CAD thousands) *Three Months Ended*	Note	**March 29, 2025**	March 30, 2024
Cash provided by (used for):			
Operating activities			
Net income		**$ 3,659**	$ 6,025
Adjustments to net income:			
Income tax expense		**1,522**	2,976
Depreciation and amortization		**236**	102
Fair value adjustments and other		**(1,554)**	(2,189)
Non-cash cost of sales related to carbon credits		**—**	2,826
Gain on sale of timberlands and other fixed assets		**(22)**	(73)
Income taxes paid		**(2,331)**	(451)
Net change in non-cash working capital balances and other		**(2,858)**	(4,403)
		(1,348)	4,813
Financing activities			
Proceeds from equipment loan		**2,189**	—
Proceeds from short-term debt		**—**	10,298
Mandatory debt repayments		**(54)**	—
Dividends paid to shareholders		**(2,590)**	(3,723)
		(455)	6,575
Investing activities			
Business acquisition	3	**(6,510)**	—
Additions to timber, land, roads, and other fixed assets		**(2,731)**	(9,250)
Proceeds from sale of timberlands and other fixed assets		**423**	79
		(8,818)	(9,171)
Increase / (Decrease) in cash and cash equivalents during the period		**(10,621)**	2,217
Cash and cash equivalents, beginning of period		**15,250**	1,831
Cash and cash equivalents, end of period		**$ 4,629**	$ 4,048

See accompanying notes to interim condensed consolidated financial statements.

Details of the net change in non-cash working capital balances and other:

Three Months Ended *(CAD thousands)*	**March 29, 2025**	March 30, 2024
Accounts receivable and other assets	**$ 1,047**	$ (2,119)
Inventory	**(1,101)**	(1,429)
Accounts payable and accrued liabilities	**(2,681)**	(1,241)
Other	**(123)**	386
	$ (2,858)	$ (4,403)

NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

(unaudited) (All figures in Canadian dollars unless otherwise stated)

1. GENERAL

Acadian Timber Corp. (the "Company") is governed by the *Canada Business Corporations Act* pursuant to articles of arrangement dated January 1, 2010. The Company is a reporting issuer and its common shares are publicly traded on the Toronto Stock Exchange under the stock symbol "ADN". The principal and head office of the Company is located at 6 Crabtree Ave., Edmundston, New Brunswick, E3V 3K5.

The Company and all of its consolidated subsidiaries (collectively "Acadian") own and manage approximately 775,000 acres of freehold timberlands in New Brunswick ("New Brunswick Timberlands") and approximately 300,000 acres of freehold timberlands in Maine ("Maine Timberlands") and provide timber services relating to approximately 1.3 million acres of Crown licensed timberlands in New Brunswick ("Crown Lands"). Acadian's primary business is forest management and the production of timber products, including softwood and hardwood sawlogs, pulpwood, and biomass by-products, sold to approximately 90 regional customers. Acadian also generates income through other operations, including real estate and environmental solutions.

Acadian's operations are subject to seasonal variations and, as a result, operating results vary from quarter to quarter. Harvesting activity can be compromised by inaccessibility to some sites during wet seasons, resulting in decreased harvest levels. Results of one quarter will not be indicative of results that may be achieved in other quarters or for the full year.

As at March 29, 2025, Macer Forest Holdings Inc. owns 8,785,726 shares representing approximately 49% of the outstanding shares of the Company.

2. MATERIAL ACCOUNTING POLICIES

These unaudited interim condensed consolidated financial statements have been prepared in accordance with International Accounting Standard ("IAS") 34, Interim Financial Reporting, as issued by the International Accounting Standards Board ("IASB") and using the accounting policies adopted and disclosed in Note 2 of Acadian's audited 2024 consolidated financial statements, except as included below under "Business combinations". These interim condensed consolidated financial statements should be read in conjunction with Acadian's audited annual consolidated financial statements for the fiscal year ended December 31, 2024.

These unaudited interim condensed consolidated financial statements were authorized for issuance by the Board of Directors of Acadian on May 7, 2025.

Business combinations

The acquisition method is applied in accounting for business combinations regardless of whether equity instruments or other assets are acquired. The consideration transferred is calculated as the sum of the acquisition-date fair values of assets transferred, liabilities incurred and the equity interests issued, if any, which includes the fair value of any asset or liability arising from a contingent consideration arrangement. Acquisition costs are expensed as incurred.

The excess of the consideration transferred, the amount of any non-controlling interest in an acquired entity, and the acquisition-date fair value of any previous equity interest in an acquired entity over the fair value of the net identifiable assets acquired is recorded as goodwill. If those amounts are less than the fair value of the net identifiable assets of the business acquired, the difference is recognized directly in profit or loss as a bargain purchase.

Critical Judgments and Estimates

The preparation of consolidated financial statements requires management to make critical judgments, estimates and assumptions that affect the carrying amounts of certain assets and liabilities, disclosure of contingent assets and liabilities and the reported amounts of revenue and expenses recorded during the periods. These estimates and judgments have been applied in a manner consistent with the disclosure included in Note 2 of Acadian's audited 2024 consolidated financial statements, except for the estimation of fair value of assets acquired as part of the business acquisition described in Note 3.

3. BUSINESS ACQUISITION

On February 28, 2025, Acadian acquired certain logging and related assets of A & A Brochu, LLC ("A & A Brochu") and its affiliates for total cash consideration of $6.9 million with the objective of increasing production capacity and reducing operating costs in Maine. The assets include harvesting, trucking and road working equipment and related real estate which, combined with an established workforce, constitute a portion of A & A Brochu's logging operation in Maine. Management has determined that the acquired set of inputs and processes constitutes a business.

Recognized amounts of identifiable assets acquired are as follows:

(CAD thousands)	
Equipment	**$ 5,235**
Land and buildings	**1,461**
Intangible assets	**234**
Total identifiable assets acquired	**$ 6,930**

The fair values are provisional, pending completion of a detailed inventory and fair value assessment of all assets acquired. No liabilities were assumed. Fair values for tangible assets were estimated using market prices for similar items when available and depreciated cost when appropriate. Fair values for intangible assets were estimated based on the present value of net cash flows expected to be generated.

Acquisition-related costs of $0.2 million are included in selling, administration and other expenses in the consolidated statements of net income, and in operating activities in the consolidated statements of cash flows. A hold back in the amount of $0.4 million is held by Acadian to secure any payment or indemnification obligations of the seller for a period of up to eighteen months.

4. INVENTORIES

(CAD thousands) *As at*	**March 29, 2025**	December 31, 2024
Log inventory	**$ 2,482**	$ 1,837
Carbon credits	**255**	257
Other	**458**	—
Total	**$ 3,195**	$ 2,094

5. TIMBER

(CAD thousands)	
Balance as at December 31, 2023	$ 442,830
Additions	6,741
Disposals	(703)
Gains arising from growth	33,136
Reduction arising from harvest	(26,097)
Gain from fair value adjustment and other changes	2,692
Foreign exchange	13,291
Balance as at December 31, 2024	$ 471,890
Disposals	**(63)**
Gains arising from growth	**7,455**
Reduction arising from harvest	**(6,065)**
Foreign exchange	**(950)**
Balance as at March 29, 2025	**$ 472,267**

Timber is measured at fair value. During the year, adjustments are made to standing timber assets to reflect the change in fair value due to gains arising from growth and reductions arising from harvest. Average selling price less costs of harvesting and selling is applied to expected volume growth to calculate gains arising from growth, and to the harvested volume to calculate reductions arising from harvest. On an annual basis, the fair value of standing timber assets is reassessed with the assistance of licensed independent third-party appraisers. Fair value adjustments are recognized in net income.

6. LAND, ROADS AND OTHER FIXED ASSETS

(CAD thousands)	Land	Roads	Bridges and Pavement	Equipment and Other	Total
Cost					
Balance as at December 31, 2023	$ 77,183	$ 9,426	$ 5,982	$ 3,054	$ 95,645
Additions	2,392	52	96	1,218	3,758
Disposals	(107)	—	—	—	(107)
Foreign exchange	2,847	482	268	84	3,681
Revaluations	6,400	222	—	—	6,622
Balance as at December 31, 2024	$ 88,715	$ 10,182	$ 6,346	$ 4,356	$ 109,599
Additions	**21**	**—**	**—**	**2,711**	**2,732**
Business acquisition (Note 3)	**22**	**—**	**—**	**6,616**	**6,638**
Disposals	**(9)**	**—**	**—**	**(322)**	**(331)**
Foreign exchange	**(257)**	**(37)**	**(19)**	**(6)**	**(319)**
Balance as at March 29, 2025	**$ 88,492**	**$ 10,145**	**$ 6,327**	**$ 13,355**	**$ 118,319**
Accumulated Depreciation					
Balance as at December 31, 2023	$ —	$ —	$ (2,815)	$ (1,976)	$ (4,791)
Depreciation for the year	—	—	(159)	(358)	(517)
Foreign exchange	—	—	(174)	(50)	(224)
Balance as at December 31, 2024	$ —	$ —	$ (3,148)	$ (2,384)	$ (5,532)
Depreciation for the quarter	**—**	**—**	**(34)**	**(294)**	(328)
Foreign exchange	**—**	**—**	**12**	**5**	17
Balance as at March 29, 2025	**$ —**	**$ —**	**$ (3,170)**	**$ (2,673)**	**$ (5,843)**
Carrying Amounts					
As at December 31, 2024	$ 88,715	$ 10,182	$ 3,198	$ 1,972	$ 104,067
As at March 29, 2025	**$ 88,492**	**$ 10,145**	**$ 3,157**	**$ 10,682**	**$ 112,476**

7. LONG-TERM DEBT

(CAD thousands) *As at*	**March 29, 2025**	December 31, 2024
Term facilities	**$ 114,456**	$ 115,112
Equipment loan	**2,135**	—
	116,591	115,112
Less:		
Deferred debt issuance costs	**(542)**	(171)
Net long-term debt	**$ 116,049**	$ 114,941
Less:		
Current portion	**(715)**	(46,045)
Net long-term debt, long-term portion	**$ 115,334**	$ 68,896

Acadian has term credit facilities with MetLife Insurance Company, with maturity dates ranging from March 6, 2027 to March 6, 2030. These credit facilities include a revolving credit facility of up to U.S. $10.0 million (the "Revolving Facility") for general corporate purposes and term credit facilities of U.S. $80 million (the "Term Facilities"). The Term Facilities bear interest at rates ranging from 2.7% to 5.3%. The Revolving Facility bears interest at floating rates based on the Secured Overnight Financing Rate plus applicable margin. Floating interest rates give rise to interest rate risk as net income and cash flows may be negatively impacted by fluctuations in interest rates. There are no scheduled repayments of principal required prior to the maturity dates of the Term Facilities.

On March 6, 2025, U.S.$32.0 million of the term loan matured and was refinanced under essentially the same terms as the existing facilities, and with a maturity date of March 6, 2030 and an interest rate of 5.25%.

As at March 29, 2025, Acadian had borrowed U.S.$80 million (December 31, 2024 – U.S. $80.0 million) under the Term Facilities and U.S.$nil (December 31, 2024 – U.S.$nil) under the Revolving Facility. U.S.$2.3 million of the Revolving Facility is reserved to support the minimum cash balance requirement of the Term Facilities. As security for these facilities, Acadian granted the lenders a security interest over all of its assets. The facilities are subject to customary terms and conditions for borrowers of this nature, including limits on incurring additional indebtedness and granting liens or selling assets without the consent of the lenders. The credit facilities are also subject to the maintenance of a maximum loan-to-value ratio. Acadian is in compliance with all covenants as at March 29, 2025 and December 31, 2024.

Acadian has a $2.0 million Canadian dollar denominated revolving credit facility with a major Canadian bank for general corporate purposes. This facility bears interest at floating rates based on bank prime rates plus applicable margin and is due on demand. No amounts were drawn on this facility as at March 29, 2025 or December 31, 2024.

On January 2, 2025 Acadian entered into an equipment financing agreement in the amount of U.S.$1.5 million which bears interest at 2.5% and is repayable in monthly principal and interest instalments over 3 years. The related equipment has been pledged as security.

The fair value of the Term Facilities as at March 29, 2025 is $110.3 million (December 31, 2024 – $100.5 million). The fair value of the Term Facilities is determined using the discounted cash flow approach and is measured under Level 2 of the fair value hierarchy. Future cash flows are estimated based on the terms under the Term Facilities and discounted at a rate reflecting appropriate market fundamentals relating to the debt. The carrying value of the equipment loan is assumed to reasonably approximate fair value given the recent timing of the agreement and lack of significant changes in underlying market conditions.

8. SHAREHOLDERS' EQUITY

Acadian is authorized to issue an unlimited number of common shares. The common shares have no stated par value.

Acadian has in place a dividend reinvestment plan ("DRIP") whereby Canadian resident shareholders may elect to automatically have their dividends reinvested in additional shares. Shares issued under the DRIP are issued directly from the treasury of the Company at a price equal to the volume-weighted average trading price of the Company's shares on the TSX for the five trading days immediately preceding the relevant dividend payment date, which is typically on or about the 15th of April, July, October and January. During the quarter, Acadian issued 146,762 common shares in accordance with the DRIP.

The Company's issued and outstanding common shares are as follows:

(CAD thousands except share data)	**Number of Shares**	**Share Capital**
Balance as at December 31, 2024	17,675,687	$ 156,267
Common shares issued – DRIP	**146,762**	**2,524**
Balance as at March 29, 2025	**17,822,449**	**$ 158,791**

9. NET INCOME PER SHARE

Basic net income per share is calculated by dividing net income attributable to common shareholders by the weighted average number of common shares outstanding during the period. There are no dilutive potential shares.

Three Months Ended	**March 29, 2025**	March 30, 2024
Weighted average number of common shares – basic and diluted	**17,797,714**	17,242,758

10. SEGMENTED INFORMATION

Acadian's presentation of reportable segments is based on how management has organized the business in making operating and capital allocation decisions and assessing performance. Acadian has three reportable segments: New Brunswick Timberlands, Maine Timberlands and Environmental Solutions. The Environmental Solutions segment includes business activities related to the development and sale of voluntary carbon credits.

The material accounting policies followed for the segments are consistent with those described in Note 2. Adjusted EBITDA is used to evaluate the operational performance of reportable segments. Adjusted EBITDA is defined as net income before interest, income taxes, fair value adjustments, non-cash cost of sales related to carbon credits, recovery of or impairment of land and roads, and depreciation and amortization.

Sales, Cost of sales and Adjusted EBITDA by reportable segment are as follows:

(CAD thousands) *Three Months Ended*	**March 29, 2025**	March 30, 2024
Sales		
New Brunswick Timberlands		
Softwood	**$ 9,293**	$ 8,915
Hardwood	**8,078**	6,744
Biomass	**423**	695
Timber services and other sales	**4,274**	2,716
Total New Brunswick Timberlands sales	**$ 22,068**	$ 19,070
Maine Timberlands		
Softwood	**$ 1,518**	$ 2,958
Hardwood	**878**	1,584
Biomass	**26**	2
Timber services and other sales	**344**	265
Total Maine Timberlands sales	**$ 2,766**	$ 4,809
Environmental Solutions	**—**	4,930
Total sales	**$ 24,834**	$ 28,809

(CAD thousands) *Three Months Ended*	**March 29, 2025**	March 30, 2024
Cost of sales		
New Brunswick Timberlands	$ 14,799	$ 12,027
Maine Timberlands	2,562	3,193
Environmental Solutions	—	3,045
Total cost of sales	**$ 17,361**	$ 18,265

(CAD thousands) *Three Months Ended*	**March 29, 2025**	March 30, 2024
Adjusted EBITDA		
New Brunswick Timberlands	**$ 5,892**	$ 5,996
Maine Timberlands	**(674)**	1,163
Environmental Solutions	**—**	4,138
Total segment Adjusted EBITDA	**5,218**	11,297
Corporate expenses	**(539)**	(698)
Non-cash cost of sales related to carbon credits	**—**	(2,826)
Fair value adjustments and other	**1,554**	2,189
Interest expense, net	**(816)**	(859)
Depreciation and amortization	**(236)**	(102)
Income before income taxes	**$ 5,181**	$ 9,001

Approximately 23% of total sales during the three months ended March 29, 2025 were originated with customers domiciled in the U.S. and the balance in Canada (March 30, 2024 – 44%). Approximately 17% of total sales were denominated in U.S. dollars during the same period (March 30, 2024 – 41%).

Acadian sells its products to many companies in North America. For the three months ended March 29, 2025, sales to the largest and next largest customer accounted for 23% and 12%, respectively (March 30, 2024 – 17% and 15%, respectively).

11. FINANCIAL INSTRUMENTS

Financial Risk management - Foreign Currency Risk

Acadian has designated a hedging relationship between part of the net investment in its Maine subsidiary and its U.S. dollar-denominated debt, which mitigates the foreign currency risk arising from the subsidiary's net assets. The long-term debt is designated as a hedging instrument for the changes in the value of the net investment that is attributable to changes in the Canadian dollar/U.S. dollar spot rate.

To assess hedge effectiveness, Acadian determines the economic relationship between the hedging instrument and the hedged item by comparing changes in the carrying amount of the debt that is attributable to a change in the spot rate with changes in the investment in the foreign operation due to movements in the spot rate (the offset method). Acadian's policy is to hedge the net investment only to the extent of the debt principal. There was no ineffectiveness to be recorded from the hedge during the quarter.

The change in the carrying amount of long-term debt as a result of foreign currency movements during the quarter, as recognized in OCI, and the change in the hedged item was $(0.4) million for the three months ended March 29,2025 (March 30, 2024 – $2.0 million).

Interest Rate Risk

Acadian's interest rate risk exposure arises from its floating interest rate revolving credit facility, to the extent funds are drawn (Note 7). As at March 29, 2025, no balance was drawn (December 31, 2024 - $nil). A change in interest rates would have no impact on the fixed interest rate Term Facilities or Equipment Loan.

12. INCOME TAXES

The components of income taxes recognized in profit or loss are as follows:

(CAD thousands) *Three Months Ended*	**March 29, 2025**	March 30, 2024
Current income tax expense	**$ 577**	$ 1,878
Deferred income tax expense	**945**	1,098
Total income tax expense	**$ 1,522**	$ 2,976

Acadian's effective tax rate is different from the domestic statutory income tax rate due to the differences set out below:

(CAD thousands) *Three Months Ended*	**March 29, 2025**	March 30, 2024
Income taxes at statutory rate	**$ 1,503**	$ 2,612
Foreign tax rate differential	**5**	(29)
Loss of previously unrecognized tax attributes	**—**	369
Changes in estimates related to prior years	**—**	(4)
Other	**14**	28
Total income tax expense	**$ 1,522**	$ 2,976

13. DIVIDENDS TO SHAREHOLDERS

Acadian pays quarterly dividends to the extent determined prudent by the Board of Directors. Total dividends declared for the three months ended March 29, 2025 were $5.2 million (March 30, 2024 – $5.0 million) or $0.29 per share (March 30, 2024 – $0.29 per share).

14. SUBSEQUENT EVENTS

On April 15, 2025, Acadian issued 154,264 common shares at a price of $16.707, in accordance with the DRIP.

Tariffs on U.S. Imports

During the first quarter, the U.S. government implemented a 25% tariff to be applied to the majority of U.S. imports from Canada, which was then delayed for goods that are protected under the United States–Mexico–Canada Agreement. Following the last major announcement on April 2, 2025, there are currently no tariffs in place applicable to Acadian's products. It is unclear if and when any changes to tariffs will be applied and whether other factors will support a pass through of all or a part of the tariffs to the market.

Acadian's products exported from New Brunswick to the U.S. may be subject to future tariffs, which may adversely impact the price of and demand for these products. Further, the impact of the tariff on Acadian's customers may adversely impact the price of and demand for Acadian's products sold within Canada. Conversely, the price of and demand for Acadian's products derived from our Maine Timberlands may be favourably impacted.

BOARD AND MANAGEMENT

BOARD OF DIRECTORS

Malcolm Cockwell
Managing Director
Haliburton Forest

Bruce Robertson
Corporate Director

Karen Oldfield
Interim President and CEO
Nova Scotia Health

Heather Fitzpatrick
President and CEO
Halmont Properties Corporation

Erika Reilly
Corporate Director

Adam Sheparski
President and
Chief Executive Officer
Acadian Timber Corp.

MANAGEMENT

Adam Sheparski
President and
Chief Executive Officer
Acadian Timber Corp.

Susan Wood
Chief Financial Officer
Acadian Timber Corp.

CORPORATE AND SHAREHOLDER INFORMATION

HEAD OFFICE

6 Crabtree Ave.
Edmundston, N.B. E3V 3K5

Please direct your inquiries to:
Susan Wood
Chief Financial Officer
t. 506-737-2345
e. ir@acadiantimber.com

TRANSFER AGENT AND REGISTRAR

Shareholder inquiries relating to dividends, address changes and shareholder account information should be directed to the Company's transfer agent:

TSX Trust Company
P.O. Box 700, Station B
Montreal, QC H3B 3K3
t. 1-800-387-0825 (toll free in North America)
f. 1-888-249-6189
e. shareholderinquiries@tmx.com
www.tsxtrust.com

SHARE INFORMATION
Toronto Stock Exchange: ADN
Fully Diluted Shares Outstanding (March 29, 2025): 17,822,449
Targeted 2025 Quarterly Dividend: $0.29 per share
Record Date: Last business day of each quarter
Payment Date: On or about the 15th day of each subsequent month

www.acadiantimber.com

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